

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$19.12 ▼ 1.65%

12M Price Target
\$24.00

52-Week Range
\$11.23 – \$58.15

Market Cap
\$6.36B

RGTI: Quantum Hype Cooling, D-Wave Stealing DC Spotlight

WHAT HAPPENED

- Stock down 1.65% on light volume (6.8M vs the usual 30M+) — that thin volume tells me today's move is noise, not conviction selling. The real story: Barron's ran a piece basically anointing D-Wave (QBTS) as Washington's quantum darling, and that's a direct shot at RGTI's narrative. When the press starts picking favorites in a hype sector, the "loser" of the story usually bleeds multiple for a few weeks.
- Stock sits at just 17% of its 52-week range (\$11–\$58) — meaning it's closer to the lows than the highs. Translation: the air came out of the quantum bubble months ago, and RGTI hasn't been able to reclaim the momentum.

WHY IT MATTERS

Here's what I'm reading between the lines: the CEO and a director have dumped roughly \$5.8M of stock in the last month — that's cluster selling, which is Wall Street code for "people who know the most are taking chips off the table." Meanwhile options traders are wildly bullish (call buyers outnumbering put buyers 3.6 to 1), so retail/speculators are buying what insiders are selling. That's historically a bad setup. The bigger picture: quantum computing is still a story stock, not a business — \$18M in revenue supporting a \$6.4B market cap means investors are paying \$350 for every \$1 of sales, which only works if federal money floods in AND Rigetti gets a meaningful slice. Right now D-Wave seems to be winning the lobbying battle.

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the bill that matters here — it funds DOE, NSF, and DARPA quantum programs that Rigetti directly competes for. Reauthorization talks have been kicking around Congress and any expansion of funding (rumored \$2.5B+ over five years) is a direct tailwind. But the Barron's piece flagging D-Wave's DC traction is a warning shot: if Washington consolidates quantum spending around one or two "winners," RGTI needs to be in that group or the thesis cracks. Also worth watching — export controls on quantum tech to China are tightening under the current administration, which is net positive for US-based players like RGTI but could limit any international revenue ambitions.

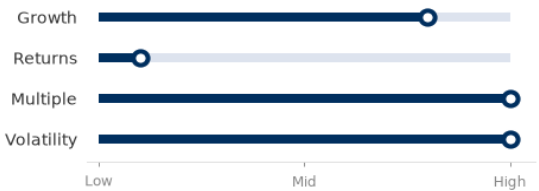
IS IT EXPENSIVE?

Investors are paying roughly \$350 for every \$1 of current revenue and about \$200 for every \$1 of next year's projected revenue — that's not a valuation, that's a belief system. For context, even high-flying AI names trade at 20-40x sales. The only way this math works is if quantum hits an inflection point in the next 2-3 years and Rigetti is one of the two or three commercial survivors — possible, but you're paying a price that assumes it's already a done deal.

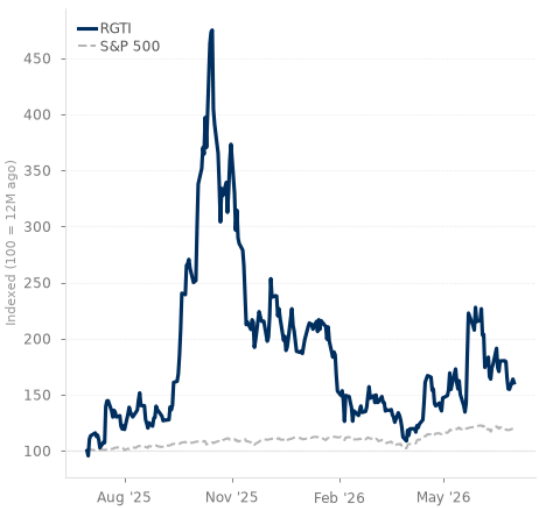
Key Data

Price (USD)	\$19.12
12M Price Target	\$24.00
Upside / (Downside)	+25.5%
Market Cap	\$6.36B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.28)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$24.00	\$19.00	\$15.00
6 Months	\$32.00	\$22.00	\$12.00
1 Year	\$45.00	\$24.00	\$10.00
2 Years	\$70.00	\$30.00	\$8.00
5 Years	\$150.00	\$50.00	\$5.00
10 Years	\$400.00	\$80.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech broadly (+2.09% today, +2.76% this week) — AI infrastructure spending keeps accelerating and the administration's pro-domestic-tech stance keeps the wind at its back. Industrials also strong (+3.59% on the week) on defense and reshoring tailwinds.

COOLING OFF: Energy is flat-to-down, Financials drifting — rate cut expectations keep getting pushed out, which hurts banks' net interest margins.

ROTATION WATCH: Money is rotating WITHIN tech — out of speculative story stocks (where RGTI lives) and into profitable AI infrastructure names. That's a headwind for RGTI specifically even though its sector ETF looks fine.

RELATED PLAY: If you believe in the quantum thesis but want something with real revenue, look at IBM (quantum exposure + actual profits) or the picks-and-shovels angle — companies making the cryogenic cooling and specialty chips that ALL quantum players need.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Winning the Washington narrative per Barron's today — their annealing approach is getting commercial traction faster than gate-based competitors.
- IONQ (IonQ): Trapped-ion approach has more enterprise partnerships and a stronger balance sheet for the long haul.

RGTI CONTEXT: RGTI is lagging the pure-play peer group right now — sitting at 17% of its 52-week range while the quantum narrative is shifting toward D-Wave. That tells me the market is starting to pick winners, and RGTI needs a catalyst (contract win, technical milestone) to get back in the conversation. Until then, it trades as the "third choice" in a three-horse race.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve only)

Entry Points: \$13-15 on broader quantum pullback

Time Horizon: 18-36 months

Thesis Invalidation: Loss of DARPA/DOE contracts or dilutive capital raise below \$15

Hedging: Pair with long QBTS or IONQ to neutralize quantum-sector beta